

The background is a blurred image of a document. It features a line graph with a dotted trend line. A pen is visible in the upper right corner, pointing towards the graph. There are some numbers visible on the graph, such as '2.5' and '2.47'.

Loan Approval Analysis

By Subhash



Introduction:

1. The main objective of this presentation is to showcase the key insights generated after analyzing the loan application data and to provide recommendations to the bank's loan approval committee.
2. These data-driven insights can be leveraged to improve the efficiency of the loan approval process and contribute to strategic decision-making.
3. We will delve into key findings related to applicant and co-applicant income, loan amounts, demographic factors, and provide actionable recommendations.

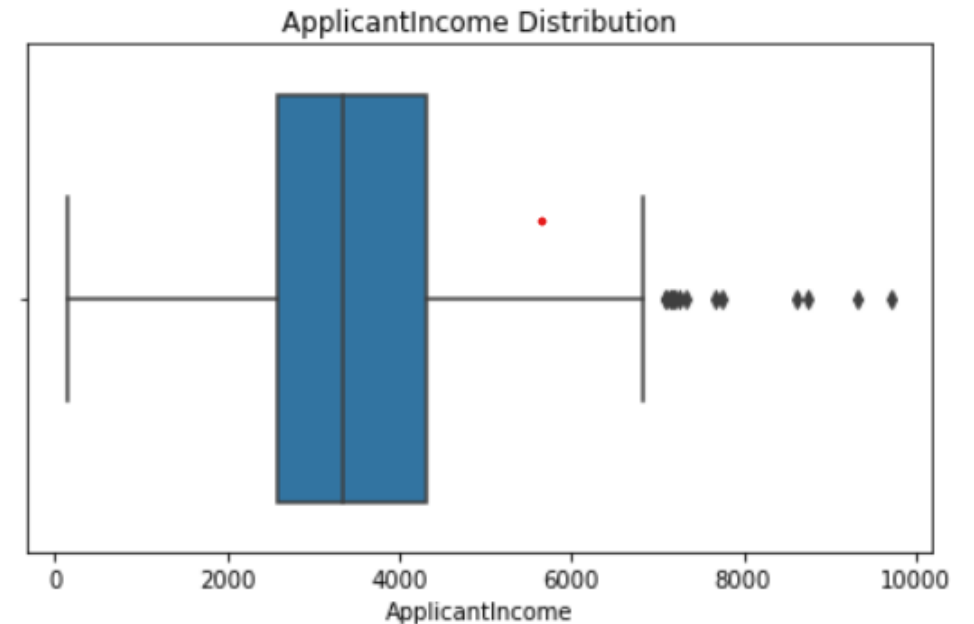
Financial Factors

- **Applicant Income Insights:**

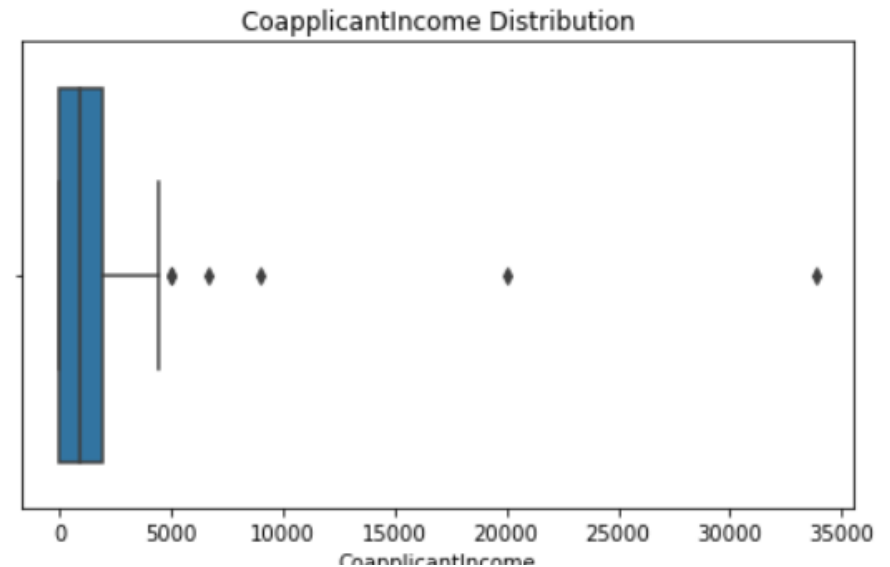
The average income of loan applicants is \$3,605, showcasing the financial diversity among applicants.

Applicant incomes range from \$150 to \$9,703, indicating a wide spectrum of financial backgrounds.

Having high income itself does not mean approval of loan.

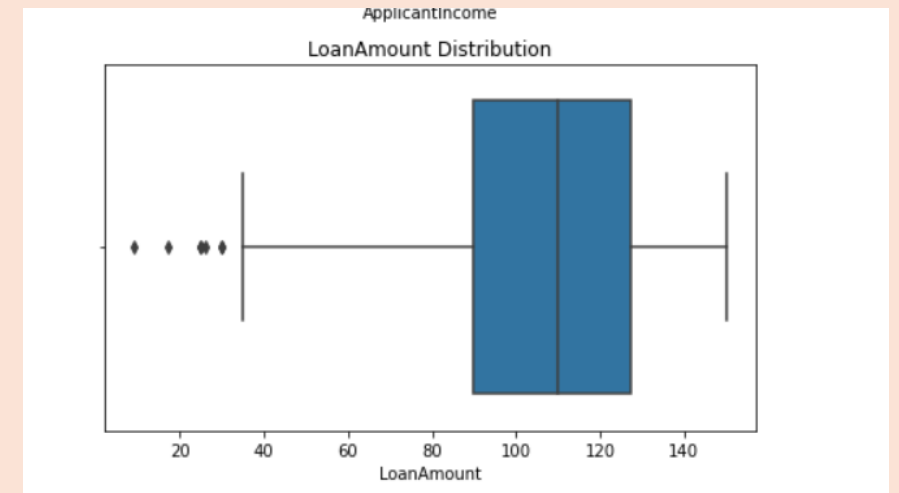


- **Co-applicant Income Analysis:**
- The average co-applicant income stands at approximately \$1,263.
- Outlier Detection: An outlier with a co-applicant income exceeding \$30,000 has been identified.
- Co-applicant income alone is not enough to decide loan approval. It might be taken as a factor while considering along with others.



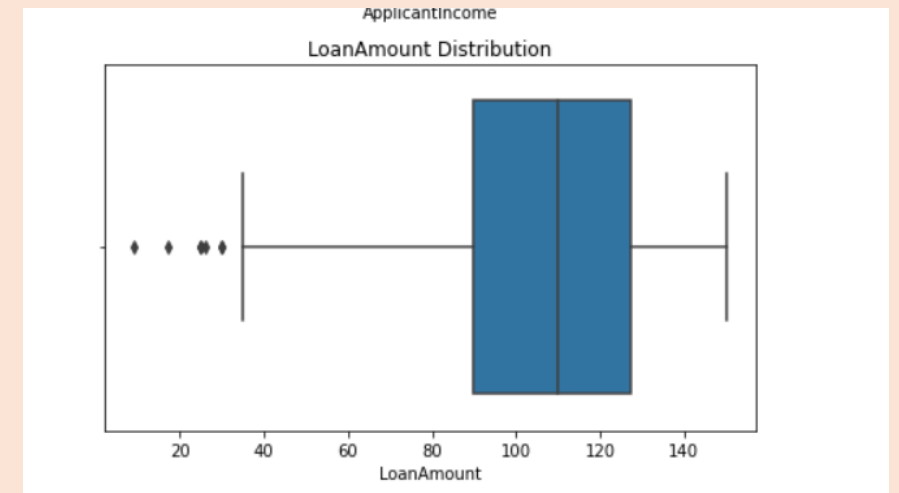
Loan Amount Overview:

- On average, loan applicants request approximately \$105.
- Loan amounts vary widely, ranging from \$9 to \$150, showcasing diverse financial needs.
- Loan amount also cannot be considered independently while approving a loan.



Loan Amount term:

- It has no impact in deciding loan status. It can be considered as a last- minute resource, because for almost all 360 - month tenure is most common.

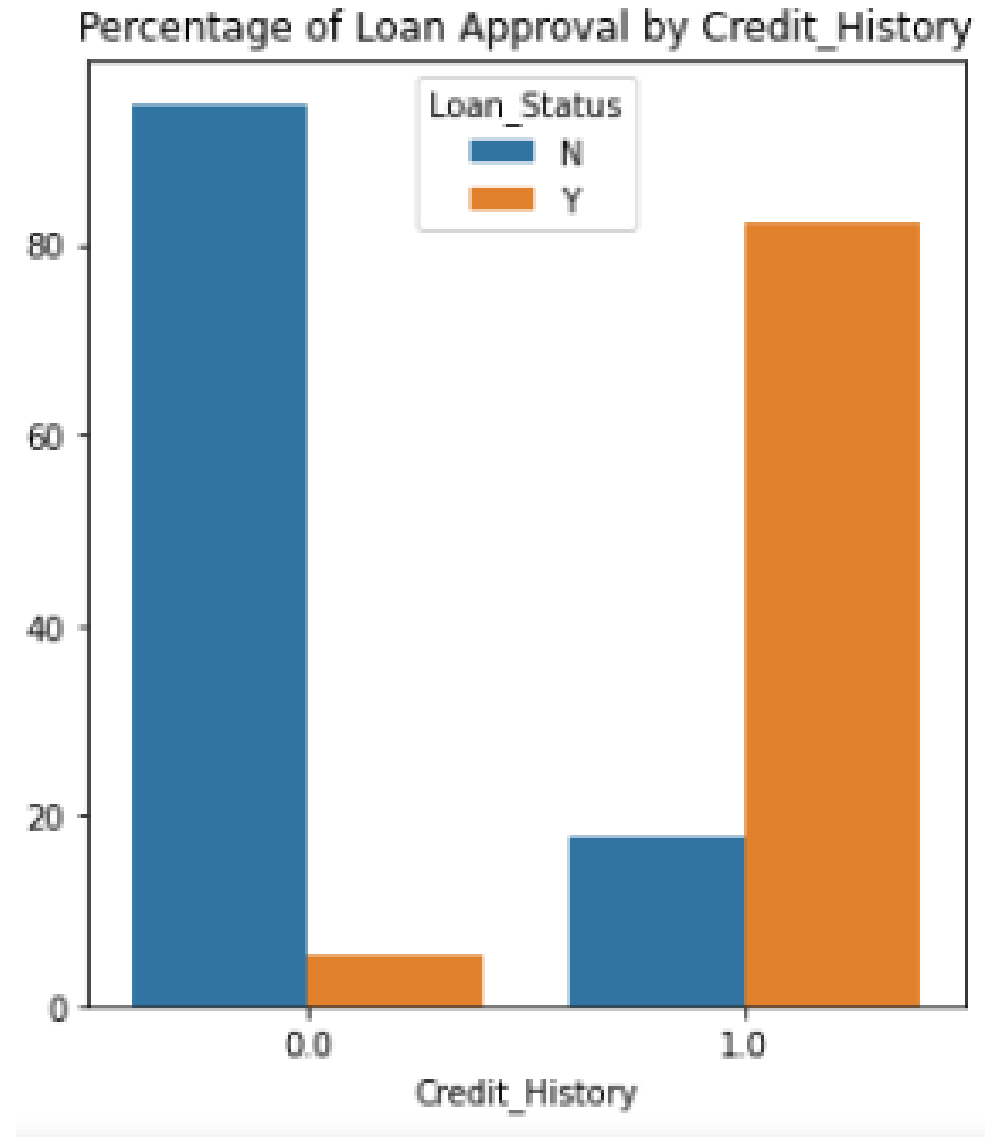


Credit History Influence

A significant portion of applicants possesses a good credit history, with a score of 1.0.

Applicants with a good credit history (score of 1.0) exhibit a higher likelihood of loan approval.

This is an important metric to consider, people having good credit are more likely to get loan.



Credit History Influence

It is observed that, no applicant loan has been sanctioned even having good income, education background, if their credit history is bad and co-applicant income is also 0.

However a red flag has been identified that, a person with loan id LP002068 has been sanctioned loan even with bad credit history and no co-applicant. It might be any special case or fraudulent activity which I think needs to be investigated.

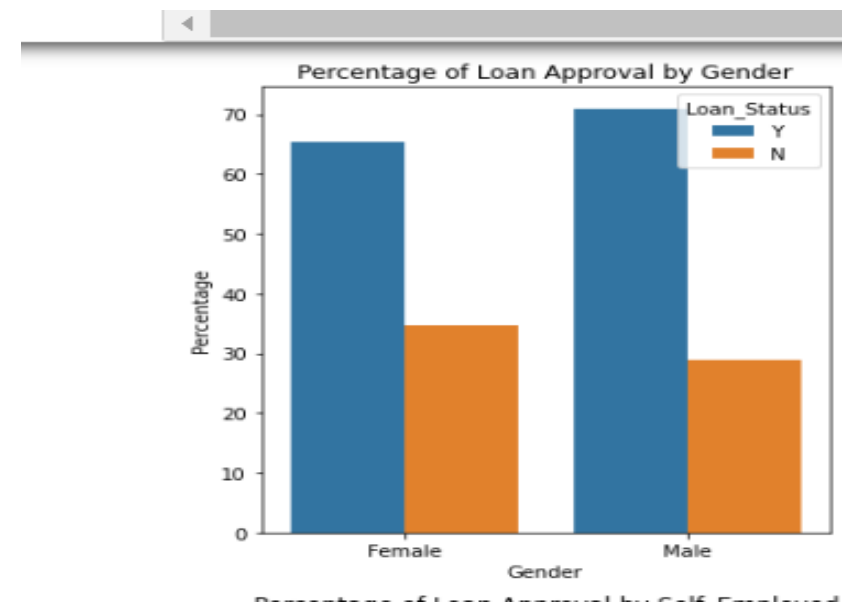
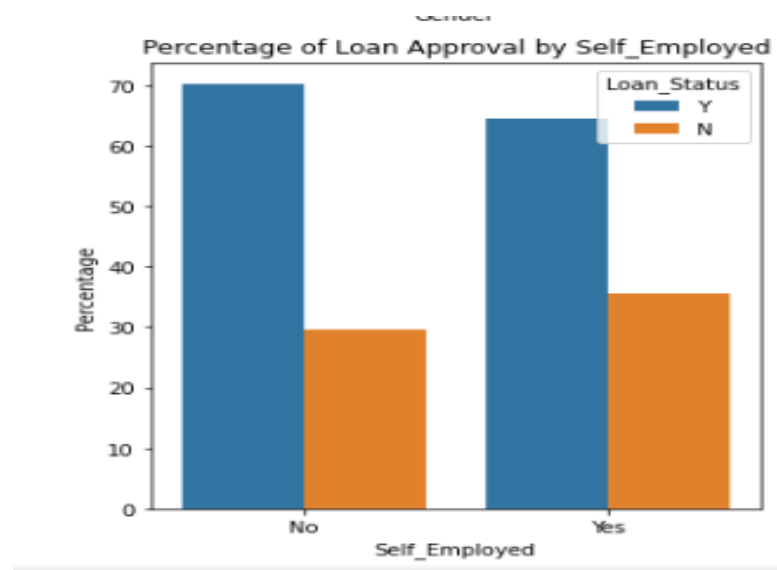
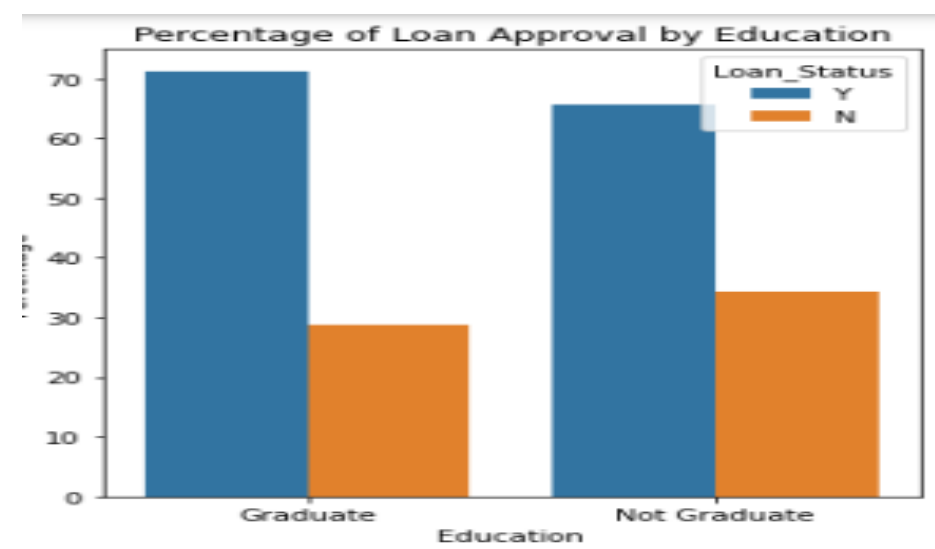
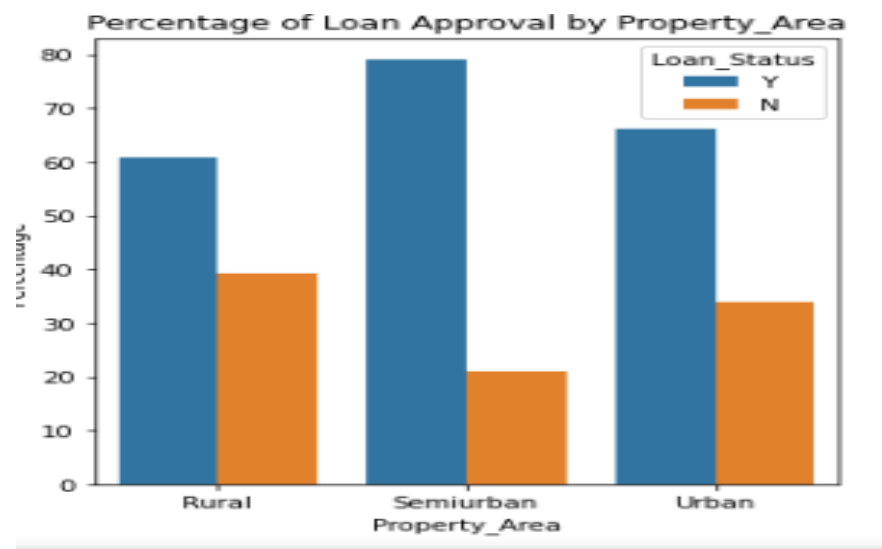
Demographic Features

Gender and Marital Status: The majority of loan applicants are males, and a significant portion is married individuals.

Education and Loan Approval: Graduates tend to have a higher likelihood of loan approval.

Self-Employment and Loan Approval: Non-self-employed individuals are more likely to secure loan approval.

Property Area and Loan Approval: Semiurban areas show the highest count of approved loans.



Recommendations:

Loan approval committee needs to give loans for applicants with good credit history and good income.

Further analyses on the anomaly is needed to mitigate such kind of activities in future.

Bank is least considered about people in rural area. I suggest, giving loans to people in rural area with high income is a positive impact for bank. It is also a potential increase in customer base.



Conclusion:

1. Key Insights:

- Main factors to be considered are applicant income, co-applicant income, loan amount, credit history, self-employment, and property area.

2. Patterns and Trends:

- A consistent trend in higher approval rates for applicants with a good credit history suggests its pivotal role in the loan approval process."

3. Recommendations:

- Tailoring loan products based on demographic insights and credit history can enhance customer satisfaction and market reach.

4. Business Implications:

- Implementing these recommendations has the potential to optimize loan approval processes, reduce risks, and contribute to overall business success.

- **Thank you**